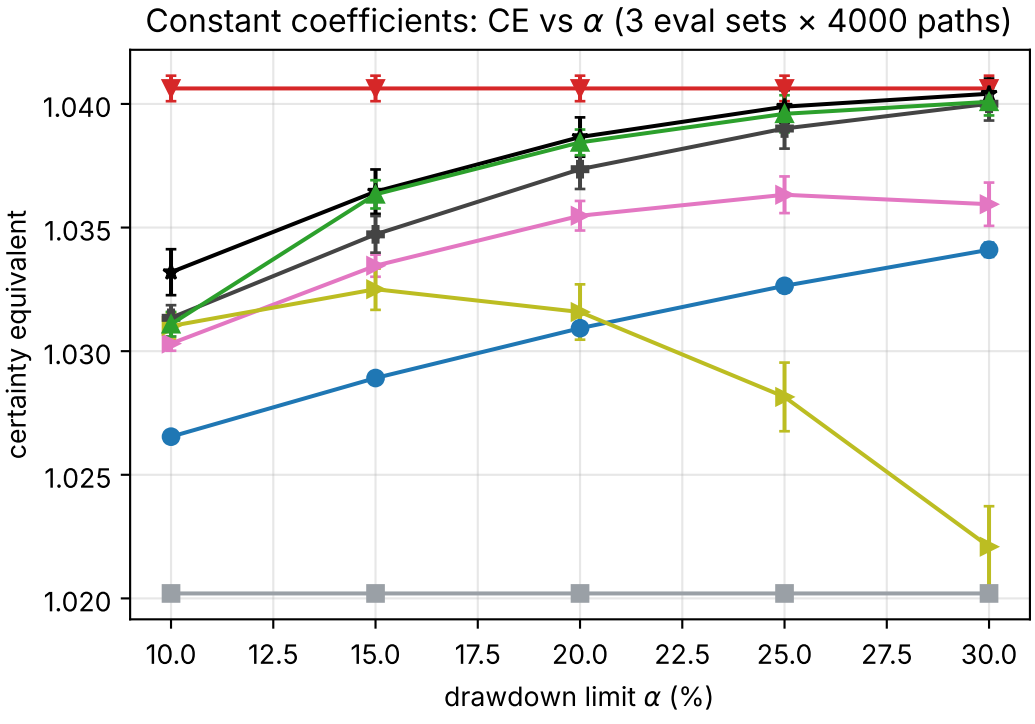
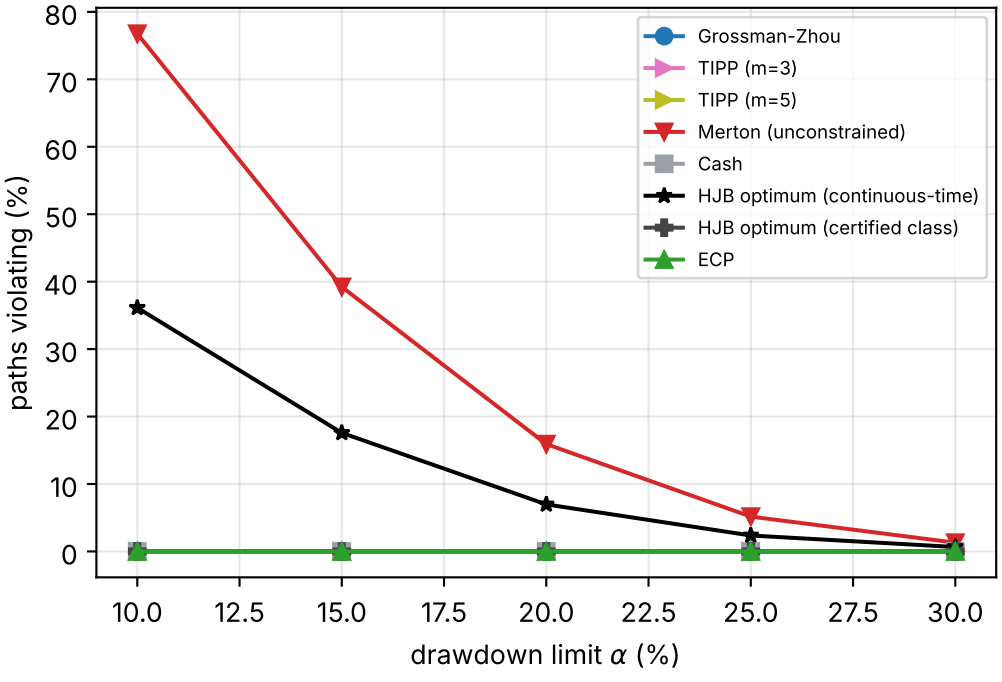

Constant coefficients: CE vs α (3 eval sets × 4000 paths)
certainty equivalent
1.040
1.035
1.030
1.025
1.020
10.0
12.5
15.0
17.5
20.0
22.5
25.0
27.5
30.0
drawdown limit α (%)


paths violating (%)
80
70
60
50
40
30
20
10
0
10.0
12.5
15.0
17.5
20.0
22.5
25.0
27.5
30.0
drawdown limit α (%)
Grossman-Zhou
TIPP (m=3)
TIPP (m=5)
Merton (unconstrained)
Cash
HJB optimum (continuous-time)
HJB optimum (certified class)
ECP